

Breakout Strategies - Day 5

Breakout types, false moves and a practical reading checklist.

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Educational illustrations and plain-English explanations. Review the examples with your own chart and risk plan.

Before the patterns

A breakout is a move through an identified support or resistance area. The key question is whether price can sustain the move, not just touch the level.

A breakout is a move through an identified area. A single touch is insufficient: examine the close, follow-through and the possibility of a false move.

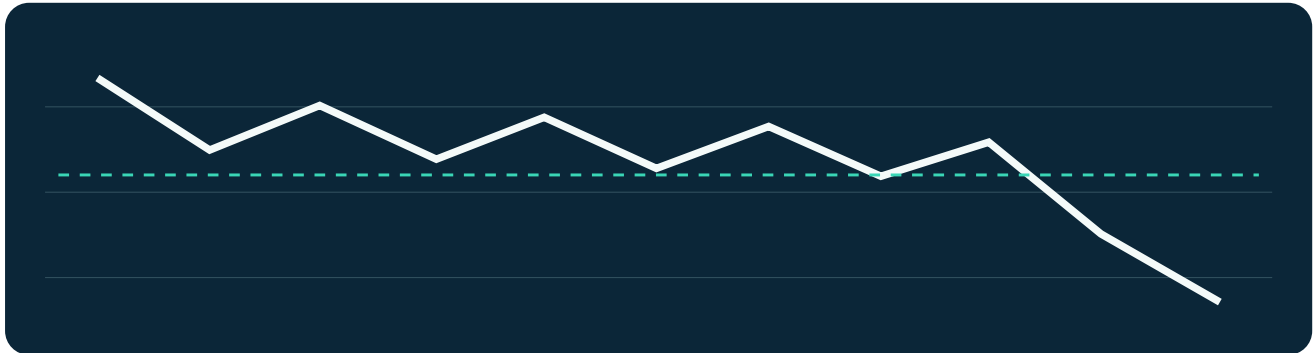
01 Bullish Breakout



Price pushes above a previously tested resistance area.

Compare the close, follow-through, and participation such as volume. A return below the level can mean the breakout failed.

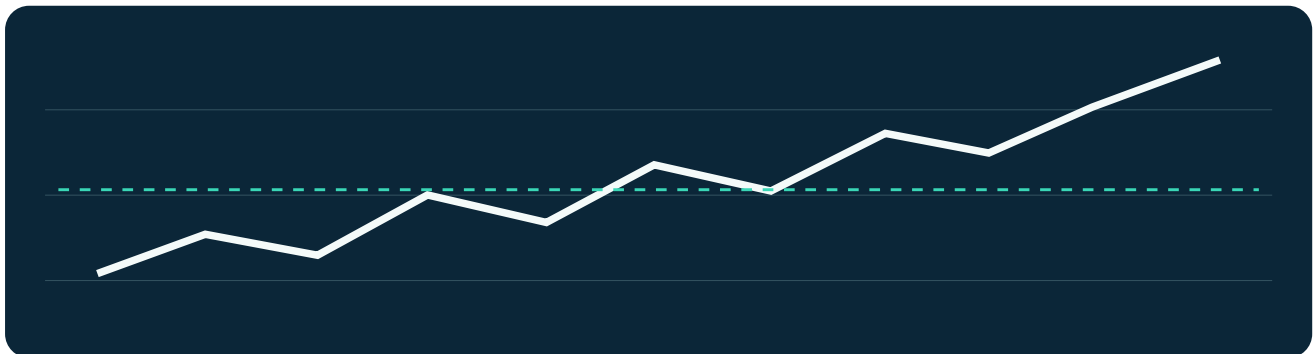
02 Bearish Breakdown



Price moves below a support area that previously held.

A break followed by a failed retest can reinforce the bearish idea. A recovery back above support changes the reading.

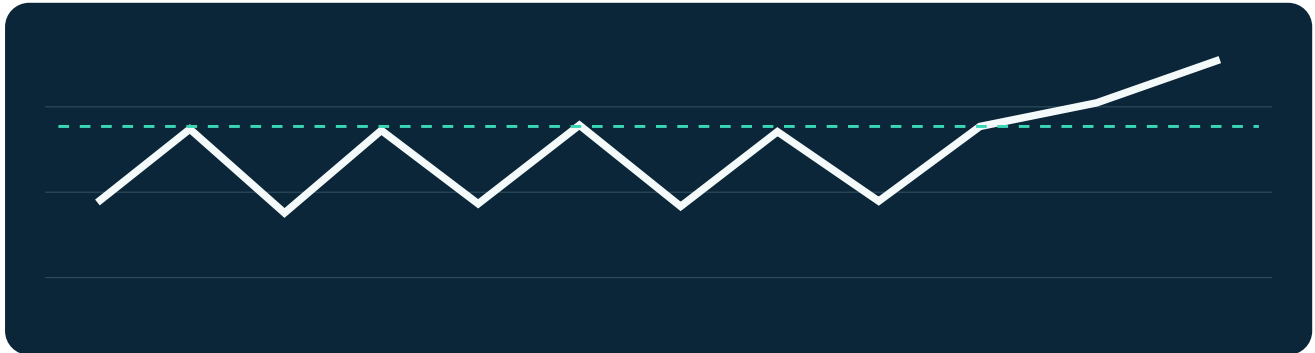
03 Trendline Break



Price crosses a trendline drawn through clear swing points.

Consider the broader trend and nearby horizontal levels. The trendline break alone does not prove a full reversal.

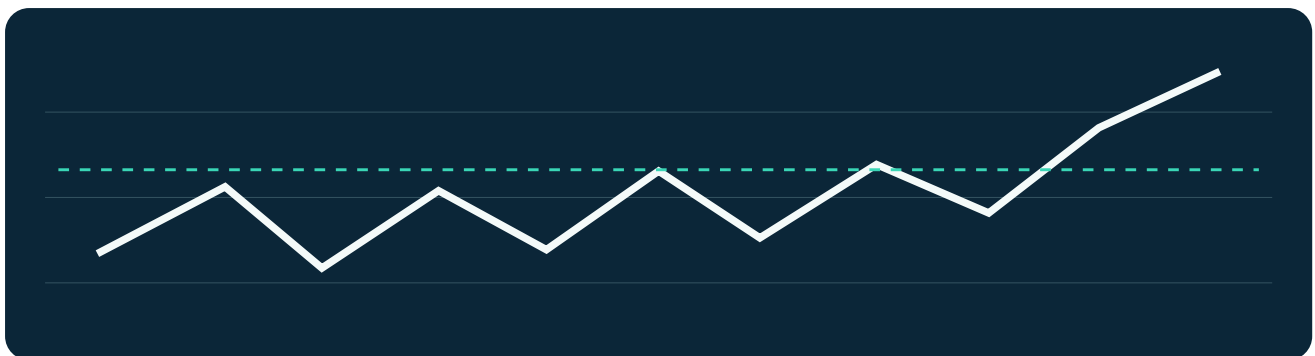
04 Consolidation Break



Price spends time trading inside a range before moving beyond its boundary.

Map the range high and low. See whether price holds outside the range or quickly returns inside it.

05 Pattern Breakout



A familiar formation, such as a triangle or base, resolves past its boundary.

Use the pattern shape to identify the relevant level, then assess the close, retest, and a realistic invalidation point.

06 False Breakout



Price briefly passes a level but then falls back into the previous range.

A single spike can mislead. Watch subsequent candles and volume; use the planned exit when the original breakout premise fails.

A practical reading checklist

- Identify the prior trend and the nearest relevant level.
- Check the shape, close and follow-through; a pattern can fail.
- Define the price action that would invalidate the idea before deciding risk.

This guide is original AlphaEdge learning material based on the web lessons. The diagrams are schematic, not historical market prices. No entry, target or return is guaranteed.